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IN THE HOT SEAT
CM Siddaramaiah faces a noisy barrage of corruption charges as his regime completes one year

KARNATAKA SCANDALS

SIDDARAMAIAH ON THE BACK FOOT

By Ajay Sukumaran

The new carved rosewood door at the west entrance to the Vidhana Soudha, which greeted members when the House convened for the first day of the monsoon session on July 15, could offer no protection against the storm that was brewing within. The Bharatiya Janata Party (BJP), and its ally Janata Dal (Secular), Karnataka's two Opposition parties, had already been targeting the Siddaramaiah-led Congress government for weeks over issues of alleged corruption. The newly renovated assembly building was sure to get some ceremonial fire to heat up its inauguration. Among the scandals facing the Siddaramaiah government is the alleged embezzlement of funds to the tune of Rs 89.63 crore in the Karnataka Maharshi Valmiki Scheduled Tribes Development Corporation Ltd (KMVSTDC).

The KMVSTDC is the state government's implementing agency for schemes meant for the upliftment of communities listed as Scheduled Tribes (ST), and the BJP has alleged that the funds were siphoned off by the state's ruling Congress to use in the recent Lok Sabha election. The Congress has voiced protest against this. Allegations of fund embezzlement in the KMVSTDC were first raised in May, following the alleged death by suicide of P. Chandrasekharan, who had worked as an accountant at the corporation. A purported suicide note alleged the KMVSTDC's savings bank account with the Union Bank of India had been transferred to another branch of the bank on February 21 and cash siphoned off. The note added that Chandrasekharan had been "forced" by senior officials to open the new account and that he himself had no role in the misappropriation of funds. Since then, KMVSTDC managing director J.G. Padmanabh and accounts officer Parashuram G. Durgannanavar, both suspended after being named in the note, and former minister of ST welfare B. Nagendra, have been arrested by different probe agencies. Nagendra resigned from his post following the scandal. The BJP demands that Siddaramaiah accept moral responsibility in the case, since he is also the state's finance minister. Speaking in the assembly, R. Ashoka, the leader of the Opposition in the House, alleged, "The government is party to this scam... Didn't the transactions come to the notice of the Finance Department?" Congress ministers, meanwhile, have accused the BJP of involving the Enforcement Directorate in the case to "destabilise" the Siddaramaiah government, though two separate probes—by the CBI and state police—are underway.

BJP has alleged ST corporation money was siphoned off by the state's ruling Congress as funds for the Lok Sabha polls

The KMVSTDC scandal is not the only front on which the Siddaramaiah government has been fighting fire. Earlier this month, Opposition parties started putting pressure on the CM over alleged irregularities in the Mysore Urban Development Authority's (MUDA) 50:50 scheme, which had been scrapped by the Congress government after coming to power in Karnataka last year. The scheme had been introduced in 2020 to compensate those who lost their land for the development of housing layouts, by giving them 50 per cent of the developed land. It has been alleged, however, that the compensations were often disproportionate to the loss, and that the allocation of compensatory plots continued even after the scheme was scrapped by the government. What's landed Siddaramaiah on a particularly sticky wicket is the claim that his wife Parvathi has been a "beneficiary" under the scheme. The Congress has refuted the allegation, saying she had only been compensated for land seized by the MUDA. While the CM has said the allocation to his wife was made in 2021, when the BJP was in power in Karnataka, the state government on July 14 also appointed a commission of inquiry to look into allegations against MUDA.

Over the past year, the Congress has prided itself on its work in Karnataka, especially owing to the successful roll-out of big-ticket welfare schemes. These scandals have, however, given the Opposition an opportunity to corner it. ■